

Alphabet Inc.

NASDAQ: GOOGL / GOOG | Communication Services — Internet & AI | 5 August 2026

HOLD Fair Value: **\$384** | CMP: \$363 (5-Aug-2026) | Upside: +6% (total return +6.1%)

Investment Summary

Alphabet's Q2 2026, reported 22 July, was an operational blowout. Revenue of \$119.8bn rose 24% (23% in constant currency) — a twelfth consecutive quarter of double-digit growth — and Google Cloud accelerated to +82% at \$24.8bn with a contracted backlog of \$514bn. Operating income rose 30% to \$40.8bn on a 34% margin, and Cloud's own operating margin more than tripled to 35.6%. Gemini now serves roughly 950m monthly users and processes 22bn API tokens a minute; nearly 90% of the Fortune 100 use Gemini Enterprise. Headline EPS of \$9.11 (+294%) is not the number that matters: \$6.26 of it is an unrealised mark on equity securities. Strip that out and recurring EPS was \$2.85, against \$2.31 a year ago.

The debate has moved. Search is no longer the question — it grew 17% — and relevance is settled. The question is now the cash cost of staying ahead. Management raised 2026 capex guidance to \$195–205bn from \$180–190bn and signalled a further significant step up in 2027. Q2 capex doubled year on year to \$44.9bn and free cash flow turned negative for the first time in Alphabet's public life, at –\$5.9bn. The shares fell about 7% on the print. On 5 August, chief scientist Jeff Dean left after 27 years — with Sanjay Ghemawat, Oriol Vinyals and Quoc Le — to found Discovery Loop, and Demis Hassabis stepped back from running DeepMind; the stock fell a further 4%.

At \$363 the headline 18.9x trailing P/E is an illusion created by \$135.7bn of first-half mark-to-market gains. On recurring FY2026E EPS near \$11.90 the stock trades at about 30.5x, a premium to the mega-cap median of ~24.9x. Our multi-method fair value is \$384: a sum-of-the-parts of \$430, blended with a forward-P/E cross-check of \$357 and a DCF floor cut to \$330 for the higher capex. That is a total return of 6.1% including the 0.2% dividend yield, against a cost of equity of 10.1% (US 10-year Treasury at 4.62% plus a 5.5% equity risk premium). The business is better than it was in July; the price already pays for it. We move from BUY to HOLD.

Snapshot

Metric	Value	Note
Market cap	~\$4.44 trillion	≈12.2bn shares · \$363
Q2 2026 revenue	\$119.8bn (+24%)	Cloud +82%; op margin 34%
Q2 2026 EPS	\$9.11 reported / \$2.85 recurring	\$6.26 a share is an equity-securities mark
Valuation	~30.5x recurring fwd P/E	MSFT 27.5x, Meta 22.2x, AMZN 22.3x, AAPL 35.5x
2026 capex guide	\$195–205bn	Raised from \$180–190bn; Q2 FCF – \$5.9bn
Cloud backlog	\$514bn (+\$50bn QoQ)	>50% to be recognised within 24 months

Q2 2026 Results Review

Q2 2026 revenue of \$119.8bn rose 24%, with Google Services +15% to \$94.5bn — Search & other +17%, YouTube ads +13%, subscriptions, platforms and devices +15% — and Google Cloud +82% to \$24.8bn. Operating income rose 30% to \$40.8bn and the margin widened two points to 34%.

Cloud segment operating income more than tripled to \$8.8bn, a 35.6% margin, while Alphabet-level AI research costs that sit outside the segments grew 72% to \$5.8bn in the quarter. Cloud backlog reached \$514bn, up more than \$50bn sequentially, of which management expects to recognise just over half within 24 months. Reported EPS of \$9.11 includes a \$99.0bn net gain on equity securities worth \$6.26 a share; recurring EPS was \$2.85. Capital expenditure was \$44.9bn in the quarter, full-year guidance moved to \$195–205bn, and free cash flow was –\$5.9bn. Alphabet funded the build with \$49.6bn of equity and mandatory convertible preferred issued in June plus \$20.3bn of senior notes, taking long-term debt to \$98.2bn and total cash and securities to \$242.5bn.

Valuation

We anchor on recurring earnings. Alphabet's trailing P/E of 18.9x screens cheap only because GAAP earnings absorb \$135.7bn of first-half unrealised equity gains. On FY2026E recurring EPS of about \$11.90, which excludes those marks, the stock trades at ~30.5x against a mega-cap median of ~24.9x (Microsoft 27.5x, Apple 35.5x, Amazon 22.3x, Meta 22.2x). Applying 30x to that recurring base gives ~\$357, and the peer-median cross-check implies ~\$296. Street consensus sits far above at \$427.59 (64 analysts, Strong Buy) — but that consensus rests on a GAAP FY2026 EPS of \$20.58 which the same analysts expect to fall 28% to \$14.73 in FY2027. That fall is the mark-to-market washing out, not the business deteriorating, and it is the single clearest reason to distrust the headline multiple.

Sum-of-the-parts. Valuing Google Services on 25x net income — \$39.5bn of quarterly segment profit less the \$5.8bn of central AI research that supports it, annualised and taxed at 16% — gives ~\$2.84tn. Google Cloud on 21x its \$99bn annualised revenue run-rate gives ~\$2.08tn, warranted by 82% growth and the \$514bn backlog. Add ~\$150bn for Waymo and the other bets, and \$246.7bn of net cash and investments (\$242.5bn of cash and securities, less \$98.2bn of debt, plus \$131.5bn of non-marketable stakes net of deferred tax). Across 12,360m fully diluted shares that is ~\$430 a share — almost exactly the Street's \$427.59, and the reason we are not bearish. Blended 45/35/20 with the forward P/E (\$357) and the DCF floor (\$330), fair value is \$384.

The swing factor is unchanged in kind but larger in degree: \$195–205bn of 2026 capex, rising again in 2027, against a business now generating negative free cash flow. The bull case is that the \$514bn backlog converts and the depreciation is simply the price of being a hyperscaler; the bear case is that the returns arrive later and thinner than a 30x recurring multiple assumes. This is a close call: at \$384 fair value the total return is 6.1%, only 0.6 points short of the 6.6% that would make it an ACCUMULATE, and a share price below roughly \$361 — or holding the DCF floor at its previous \$345 — would tip it. It is 4 points short of the 10.1% required for a BUY. The full model detail sits in the accompanying workbook; the figures here are illustrative.

Key Risks

- AI capex of \$195–205bn in 2026, rising again in 2027, against free cash flow that turned negative (–\$5.9bn) in Q2.
- Key-person and research-talent loss — chief scientist Jeff Dean, Sanjay Ghemawat, Oriol Vinyals and Quoc Le all departed on 5 Aug 2026, and Demis Hassabis stepped back from running DeepMind — alongside the standing long-run risk of Search disruption by AI-native interfaces.
- Regulatory / antitrust actions across the US and EU on Search and ad-tech.
- OI&E volatility — \$135.7bn of unrealised equity marks in H1 flatter GAAP earnings and reverse in a drawdown.
- Cloud competition from Microsoft and Amazon, and rising leverage (\$98.2bn long-term debt) funding the build.

Company Overview

Alphabet is the parent of Google, operating the world's dominant search and digital-advertising franchise (Search, YouTube, Network), the fast-growing Google Cloud platform, the Android and Chrome ecosystems, and long-horizon 'Other Bets' including Waymo. It is among the best-capitalised companies on earth and a front-runner in frontier AI through its Gemini models and TPU infrastructure.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation. Figures sourced from company filings (FY2025 and the Q2 2026 earnings release of 22 July 2026) and market data as of 5 Aug 2026, believed reliable but not guaranteed. The fair value is an illustrative output of the accompanying model and depends on its assumptions. Consult a licensed adviser before acting.

Alphabet Inc. - Income Statement (USD Millions)							
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025	Q2 2026A
REVENUE							
Total Revenues	182,527	257,637	282,836	307,394	350,018	402,836	119,796
COST & EXPENSES						97,795	
Cost of Revenue	84,732	110,939	126,203	133,332	146,306	162,535	45,943
Gross Profit	97,795	146,698	156,633	174,062	203,712	240,301	73,853
Operating Expenses:							
Research & Development	27,573	31,562	39,500	45,427	49,326	61,087	18,219
Selling, General & Administrative	28,998	36,422	42,291	44,342	41,996	50,175	14,864
Total Operating Expenses	56,571	67,984	81,791	89,769	91,322	111,262	33,083
Operating Income (EBIT)	41,224	78,714	74,842	84,293	112,390	129,039	40,770
OTHER INCOME/EXPENSE							
Interest Income	8,104	13,486	2,858	-	-	-	1,430
Interest Expense	(135)	(346)	(357)	-	-	-	(1,278)
Other Income/(Expense), net	(1,246)	(1,562)	93	1,424	7,425	29,787	97,831
Total Other Income/(Expense)	6,723	11,578	2,594	1,424	7,425	29,787	97,983
Pre-Tax Income (EBT)	47,947	90,292	77,436	85,717	119,815	158,826	138,753
Income Tax Provision	7,813	14,701	11,798	11,922	19,697	26,656	26,560
Net Income	40,134	75,591	65,638	73,795	100,118	132,170	112,193
SHARES DATA							
Diluted EPS	2.93	5.61	5.11	5.80	8.04	10.81	9.11
Diluted Shares Outstanding (M)	13,700	13,472	12,843	12,723	12,447	12,230	12,309

Alphabet Inc. - Balance Sheet (USD Millions)							
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025	Jun-202
ASSETS							
Current Assets:							
Cash and Cash Equivalents	26,465	20,945	21,879	24,048	23,466	30,708	55,911
Short-term Investments	110,229	118,704	91,883	86,868	73,169	96,135	186,563
Accounts Receivable	30,930	39,304	40,258	48,070	53,128	62,886	69,175
Other Current Assets	8,057	8,016	6,696	9,287	10,493	16,309	31,875
Total Current Assets	175,681	186,969	160,716	168,273	160,256	206,038	343,524
Non-Current Assets:							
Property, Plant & Equipment, net	84,749	97,599	112,668	129,989	156,040	246,597	321,212
Intangible Assets	1,445	2,220	2,228	2,313	2,418	-	9,105
Goodwill	20,624	24,010	25,578	27,433	29,372	33,380	57,828
Long-term Investments	20,673	30,822	34,314	40,699	42,361	68,687	131,461
Other Non-Current Assets	16,444	17,648	19,888	33,685	49,809	40,579	58,853
Total Non-Current Assets	143,935	172,299	194,676	234,119	280,000	389,243	578,459
TOTAL ASSETS	319,616	359,268	355,392	402,392	440,256	595,281	921,983
LIABILITIES							
Current Liabilities:							
Accounts Payable	5,589	6,693	6,839	7,664	8,457	12,200	20,258
Accrued Expenses	27,923	33,019	34,763	39,225	43,891	83,967	88,100
Deferred Revenue	3,288	3,288	3,288	3,288	3,288	6,578	7,154
Short-term Debt	2,695	1,790	999	999	3,082	-	-
Other Current Liabilities	17,339	19,464	23,411	30,638	30,404	-	10,599
Total Current Liabilities	56,834	64,254	69,300	81,814	89,122	102,745	126,111
Non-Current Liabilities:							
Long-term Debt	13,932	14,817	14,701	13,253	12,987	46,547	98,165
Deferred Tax Liabilities	9,190	8,849	9,442	1,702	5,883	-	22,819
Other Non-Current Liabilities	17,116	16,334	15,677	22,244	17,180	30,724	34,408
Total Non-Current Liabilities	40,238	40,000	39,820	37,199	36,050	77,271	155,392
TOTAL LIABILITIES	97,072	104,254	109,120	119,013	125,172	180,016	281,503
STOCKHOLDERS' EQUITY							
Common Stock	58,510	66,033	72,293	77,846	85,289	93,126	149,394
Retained Earnings	163,401	191,226	178,237	213,311	248,683	324,055	493,371
Accumulated Other Comprehensive Income	633	(45)	(258)	(778)	(888)	(1,916)	(2,285)
Total Stockholders' Equity	222,544	257,214	250,272	290,379	333,084	415,265	640,480
TOTAL LIABILITIES & EQUITY	319,616	361,468	359,392	409,392	458,256	595,281	921,983

Alphabet Inc. - Cash Flow Statement (USD Millions)							
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025	H1 2026A
OPERATING ACTIVITIES							
Net Income	40,269	76,033	59,972	73,795	100,118	132,170	174,771
Depreciation & Amortization	11,678	12,821	13,497	12,721	13,040	21,136	13,586
Stock-Based Compensation	15,276	15,383	19,380	22,497	19,271	24,953	14,708
Deferred Taxes	(7,817)	(8,081)	(7,750)	(7,838)	(4,544)	8,348	27,538
Changes in Working Capital:							
Accounts Receivable	(8,463)	(9,145)	(2,310)	(7,756)	(5,012)	(8,779)	(6,904)
Accounts Payable	664	707	283	304	345	907	2,090
Other Operating Activities	13,517	3,934	8,423	7,023	2,081	(14,022)	(140,930)
Net Cash from Operating Activities	65,124	91,652	91,495	100,746	125,299	164,713	84,859
INVESTING ACTIVITIES							
Capital Expenditures (CapEx)	(24,640)	(31,485)	(31,485)	(32,279)	(44,530)	(91,447)	(80,598)
Purchase of Investments	(80,861)	(138,006)	(81,354)	(80,925)	(77,729)	(109,489)	(98,531)
Sale/Maturity of Investments	87,634	129,244	98,032	87,603	88,408	84,607	68,363
Acquisitions, net	(2,607)	(2,649)	(6,989)	(495)	(2,503)	(1,592)	(33,697)
Other Investing Activities	541	1,620	1,618	(1,084)	(2,306)	(2,370)	(1,359)
Net Cash from Investing Activities	(32,773)	(35,523)	(20,298)	(27,063)	(45,536)	(120,291)	(145,822)
FINANCING ACTIVITIES							
Issuance of Debt	20,177	20,204	52,949	10,756	11,514	64,564	56,226
Repayment of Debt	(21,436)	(21,377)	(54,133)	(11,636)	(10,816)	(32,427)	(5,253)
Stock Repurchases	(31,149)	(50,274)	(59,296)	(61,540)	(52,679)	(45,709)	-
Dividends Paid	-	-	-	-	(6,191)	(10,049)	(5,231)
Other Financing Activities	8,000	85	723	930	439	(13,767)	40,578
Net Cash from Financing Activities	(24,408)	(51,362)	(59,757)	(61,490)	(57,733)	(37,388)	86,320
Net Change in Cash	7,943	4,767	11,440	12,193	22,030	7,034	25,357
Cash at Beginning of Period	18,498	26,441	21,208	22,648	25,238	23,466	30,708
Cash at End of Period	26,441	21,208	22,648	25,238	25,268	30,708	55,911
KEY METRICS							
Free Cash Flow (OCF - CapEx)	40,484	60,167	60,010	69,467	80,769	73,266	4,261

Alphabet Inc. - Key Operating Metrics								
Fiscal Year Ended December 31	2020	2021	2022	2023	2024			
PROFITABILITY METRICS								
Gross Margin %	53.60%	56.90%	55.40%	56.90%	55.00%			All units are in USD millions
Operating Margin %	22.60%	30.50%	26.50%	28.30%	25.30%			
Net Profit Margin %	22.00%	29.30%	23.20%	25.60%	23.50%			
RETURN METRICS								
Return on Assets (ROA) %	12.60%	21.10%	18.50%	19.50%	18.30%			
Return on Equity (ROE) %	18.00%	29.40%	26.20%	27.10%	24.70%			
LIQUIDITY RATIOS								
Current Ratio	3.09	2.91	2.32	2.06	1.8			
Quick Ratio	3.09	2.91	2.32	2.06	1.8			
LEVERAGE RATIOS								
Debt to Equity	0.06	0.06	0.06	0.05	0.04			
Debt to Assets	0.04	0.04	0.04	0.03	0.03			
EFFICIENCY METRICS								
Asset Turnover	0.57	0.72	0.8	0.76	0.78			
CASH FLOW METRICS								
Operating Cash Flow	65,124	91,652	91,495	101,746	125,299			
Free Cash Flow	40,484	60,167	60,010	69,467	80,769			
FCF Margin %	22.20%	23.30%	21.20%	22.60%	23.10%			
VALUATION DATA (for reference)								
Diluted Shares Outstanding (M)	13,700	13,472	12,843	11,972	10,826			
EPS (Diluted)	2.93	5.61	5.11	6.57	7.59			

Alphabet Inc. - Revenue Breakdown by Segment						
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	Q2 2026A
GOOGLE SERVICES						
Google Search & Other	104,062	148,951	162,450	175,033	197,868	63,271
YouTube Ads	19,772	28,845	29,243	31,510	35,309	11,055
Google Network	23,057	31,701	32,780	31,316	31,010	7,303
Subscriptions, Platforms & Devices	21,711	28,813	29,055	34,685	40,710	12,911
Total Google Services Revenue	168602	238310	253528	272544	304897	94540
GOOGLE CLOUD						
Google Cloud Revenue	13,059	19,206	26,280	33,088	41,794	24,768
OTHER BETS						
Other Bets Revenue	657	753	1,068	1,527	1,907	382
HEDGING GAINS/LOSSES						
Other Revenues & Hedging	209	368	-40	235	420	106
TOTAL REVENUES	182527	257,637	282,836	307,394	350,018	119,796
OPERATING INCOME BY SEGMENT						
Google Services Operating Income	60,913	98,703	88,132	100,456	117,372	39,544
Google Cloud Operating Income	(5,607)	(3,099)	1,753	6,448	10,447	8,814
Other Bets Operating Income	(4,540)	(5,281)	(6,085)	(6,532)	(7,070)	(1,799)
Corporate Costs (unallocated)	(9,542)	(11,609)	(9,958)	(12,254)	(32,211)	(5,789)
Total Operating Income	41,224	78,714	74,842	88,118	88,538	40,770

Alphabet Inc. — Sum-of-the-Parts (SOTP) Valuation

USD millions except per share. Basis: Q2 2026A annualised run-rate. 12,360M fully diluted shares (incl. mandatory convertible preferred). Live \$363.20 (5 Aug 2026, intraday).

SEGMENT VALUATION

Segment	Metric (Q2 2026A, \$M)	Value	Multiple	EV / Value (\$M)	Basis
Google Services	Net income (after 16% tax)	113400	25	2,835,000	Services op income \$39.5bn/qtr less \$5.8bn/qtr Alphabet-level AI R&D, annualised, taxed at 16% → 25x
Google Cloud	Revenue run-rate	99000	21	2,079,000	Cloud Q2 revenue \$24.8bn annualised (+82% YoY); \$514bn backlog @ 21x revenue
Other Bets (Waymo etc.)	Optionality value	150000	1	150,000	Waymo robotaxi lead (Dallas now open-access) + moonshots
Net cash & investments	Cash+securities – debt + stakes	246700	1	246,700	\$242.5bn cash/securities – \$98.2bn debt + \$131.5bn non-marketable stakes net of 22% deferred tax

SOTP SUMMARY

Sum of segment values (\$M)	5,310,700
Diluted shares (M)	12360
SOTP value per share (\$)	430
Current price (\$)	363
SOTP upside / (downside)	18.3%

Note: SOTP is the primary lens for a conglomerate — it surfaces Cloud value the blended-company P/E masks. Cross-checked against forward P/E on RECURRING earnings (30x FY26E EPS \$11.90, which excludes the \$135.7bn of H1-2026 unrealised equity gains) and Street consensus (\$427.59). Blended fair value ~\$384.

BLENDING TARGET (SOTP-primary)

SOTP (primary, 45%)	430
Forward P/E (35%): 30x × FY26E recurring EPS	357
DCF floor (20%) — cut for higher capex	330
Blended fair value (\$)	384
Upside vs live price	5.8%
Rating	HOLD
Dividend yield (FY26E DPS \$0.88)	0.2%
TOTAL RETURN (upside + dividend yield)	6.1%
BUY threshold — cost of equity (RF + 5.5% ERP)	10.1%
ACCUMULATE threshold — RF + 2pp	6.6%

Rating bands are anchored to the US 10-year Treasury (4.62%, 5 Aug 2026), not a fixed percentage: BUY if total return beats the ~10.1% cost of equity; ACCUMULATE above RF+2pp (6.6%); HOLD 0–6.6%; REDUCE below zero.

DCF & VALUATION MODEL INPUTS			
SECTION 1: COMPANY DATA			
Company Name	Alphabet Inc. (Google)		
Ticker	GOOGL / GOOG		
Fiscal Year End	December 31, 2025 (latest actual: Q2 2026)		
SECTION 2: LATEST FINANCIAL DATA (FY2025A; balance sheet & shares at 30-Jun-2026)			
Revenue (in millions)	402,836		
Operating Income (EBIT)	129,039		
Net Income	132,170		
Free Cash Flow	73,266		
Total Debt	98,165	← LT debt at 30-Jun-26	
Cash & Equivalents	242,474	← cash + marketable securities, 30-Jun-26	
Shares Outstanding (millions)	12,309	← Q2 2026 diluted	
SECTION 3: DCF MODEL ASSUMPTIONS			
Revenue Growth Rate (Next 5Y)	18.00%	← FY26E consensus revenue growth +23.5%, tapering	
Terminal Growth Rate	3.00%	← Adjust as needed	
Operating Margin (Target)	25.00%	← Adjust as needed	
Tax Rate	21.00%	← Based on recent effective rate	
Discount Rate (WACC)	9.00%	← RF 4.62% + ERP 5.5% cost of equity, levered for \$98bn debt	
SECTION 4: PE RATIO INPUTS			
Current Stock Price	363.2	← live 5 Aug 2026 (intraday)	
Diluted EPS (FY2025A)	10.81		
		← ex unrealised equity gains (GAAP consensus \$20.58 is inflated by them)	
Forward EPS (FY2026E, recurring)	11.9		
SECTION 5: COMPARABLE COMPANIES (live 5 Aug 2026)			
Company	PE Ratio	Market Cap	
Microsoft	27.45		3640000
Apple	35.49		4500000
Meta Platforms	22.15		1490000
Amazon	22.31		2930000
Industry Average PE	24.88		
SECTION 6: NOTES & INSTRUCTIONS			
Next Steps:			
1. Update stock price and forward EPS with current data			
2. Adjust DCF assumptions based on your analysis			
3. Build DCF projection model in next sheet			
4. Calculate PE ratios and compare to peers			
5. Perform sensitivity analysis on key assumptions			

Alphabet — Peer Comparison (Comparable Company Analysis)

Researched Aug 2026 • live prices as of 5 Aug 2026

Company	Price (\$)	EPS (\$)	P/E (x)
Alphabet ★	363.20	11.90	30.5x
Apple	308.57	8.69	35.5x
Microsoft	490.00	17.85	27.5x
Amazon	271.77	12.18	22.3x
Meta Platforms	583.48	26.34	22.2x

COMPARABLE-COMPANY SUMMARY

Peer median P/E (x)	24.9x
Alphabet P/E premium / (discount) to peers	22.7%
Comps-implied value — peer median P/E × EPS (\$)	296.09
Comps-implied vs current price	-18.5%

Note: Alphabet is shown on FY2026E RECURRING EPS (\$11.90, ex the \$135.7bn of H1-2026 unrealised equity gains); peers are on trailing EPS. The headline 18.9x trailing P/E screens cheap only because those gains inflate GAAP earnings — on recurring earnings Alphabet trades at a premium to the mega-cap median, which is why the comps cross-check now sits below the current price rather than above it.